

DANGOTE REFINERY | INVESTMENT ANALYSIS

Is ₦525 Fair?

Dangote Refinery IPO — H1 2026 assessment

IPO OFFER PRICE

₦525

per share

Company Value

\$47.82B

Post-IPO equity value

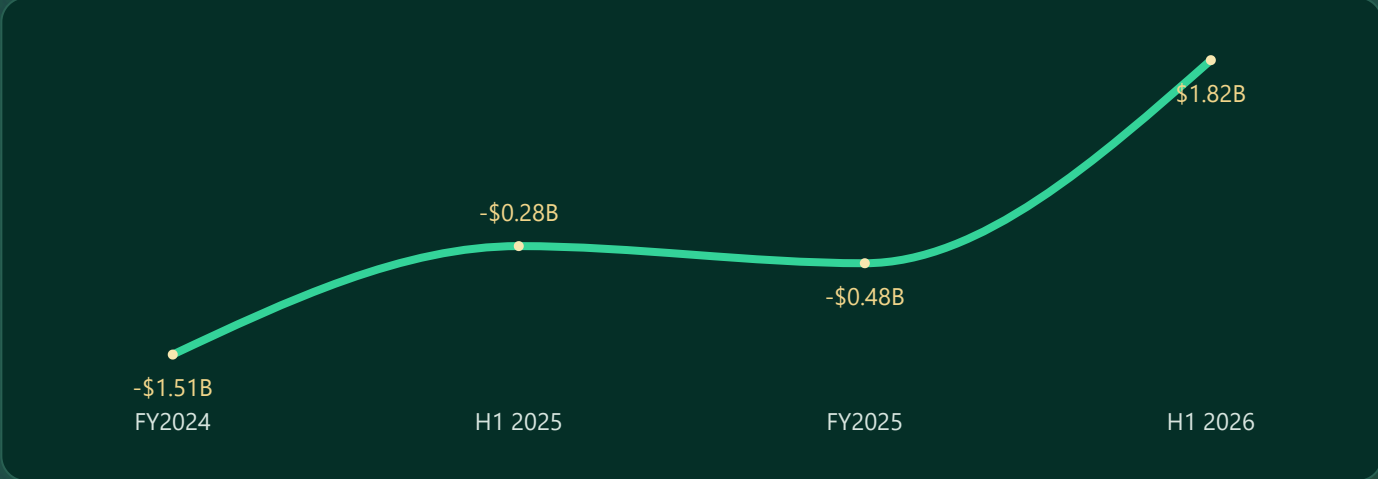
Business Value

\$49.22B

Equity value + net debt

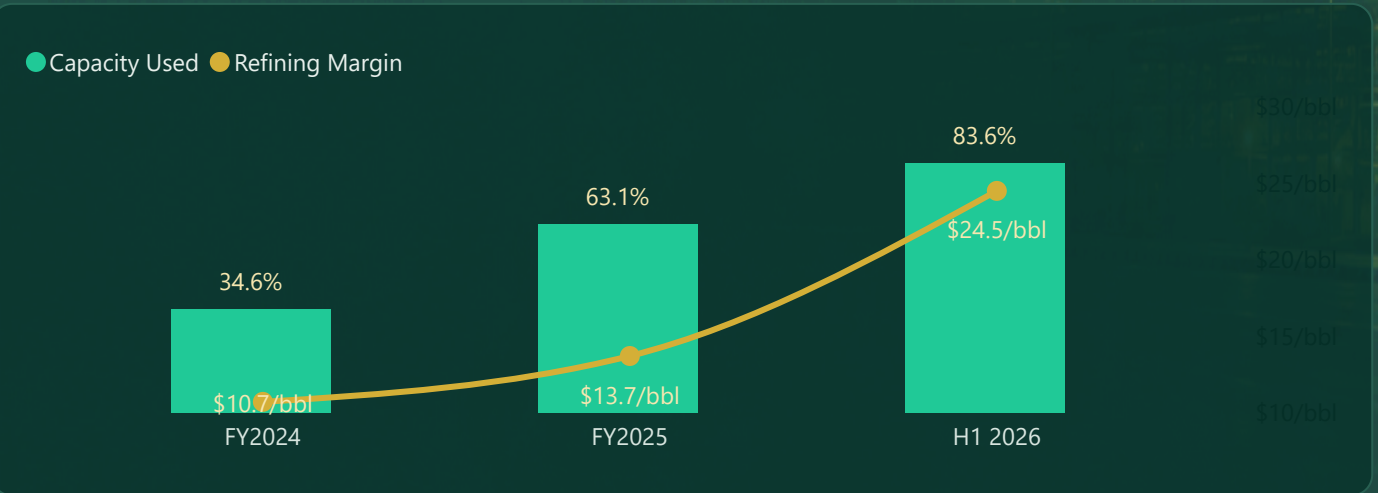
Earnings Turnaround

Net profit moved from losses to \$1.82B in H1 2026



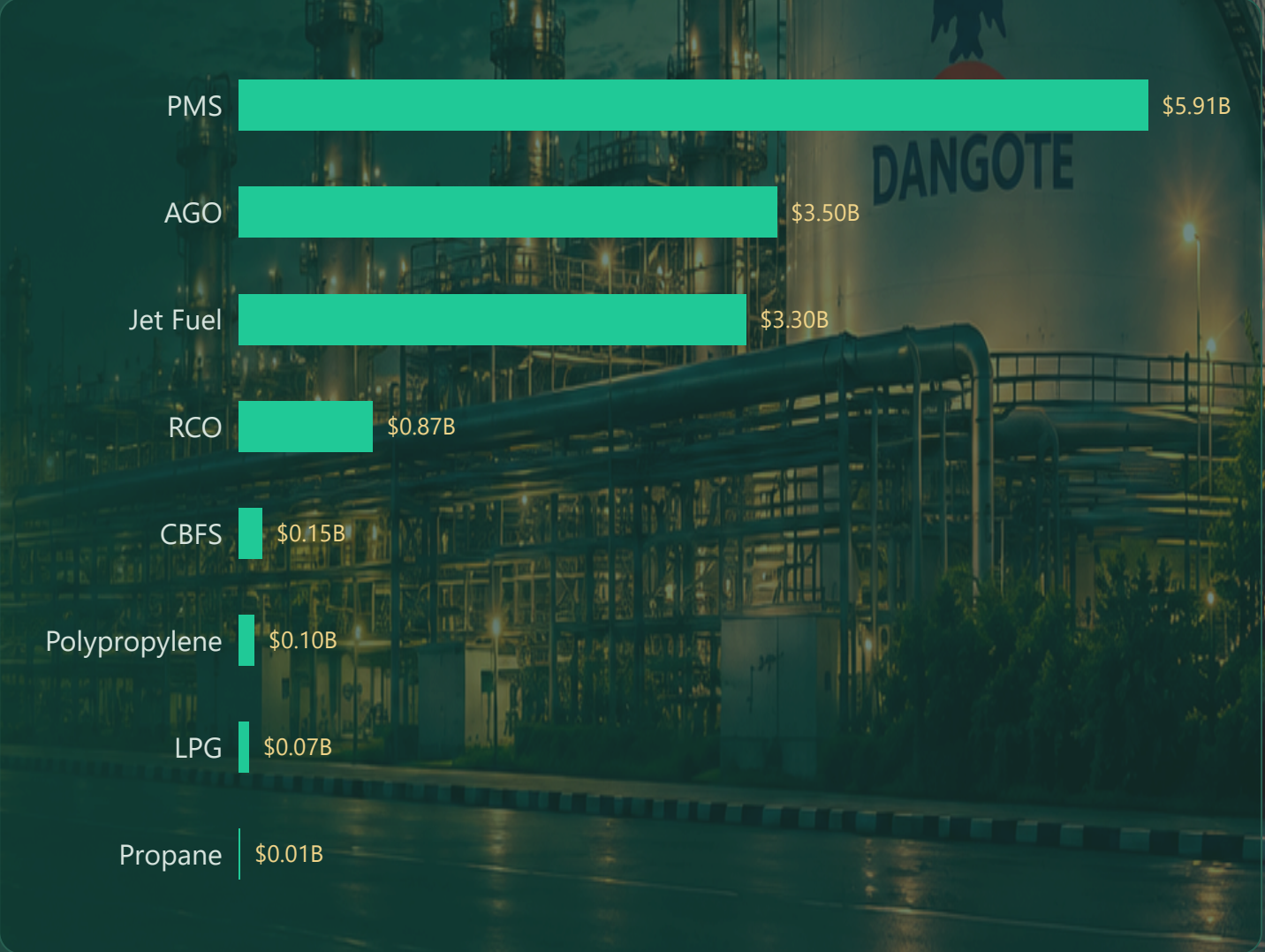
Operating Momentum

Operating Momentum



Revenue Engine

H1 2026 revenue by product



OPERATING PERFORMANCE

How strong and sustainable is the current performance?

Revenue

\$13.91B

H1 2026 revenue

Operating Earnings

\$2.60B

H1 2026 EBITDA

EBITDA Margin

18.7%

Operating earnings / revenue

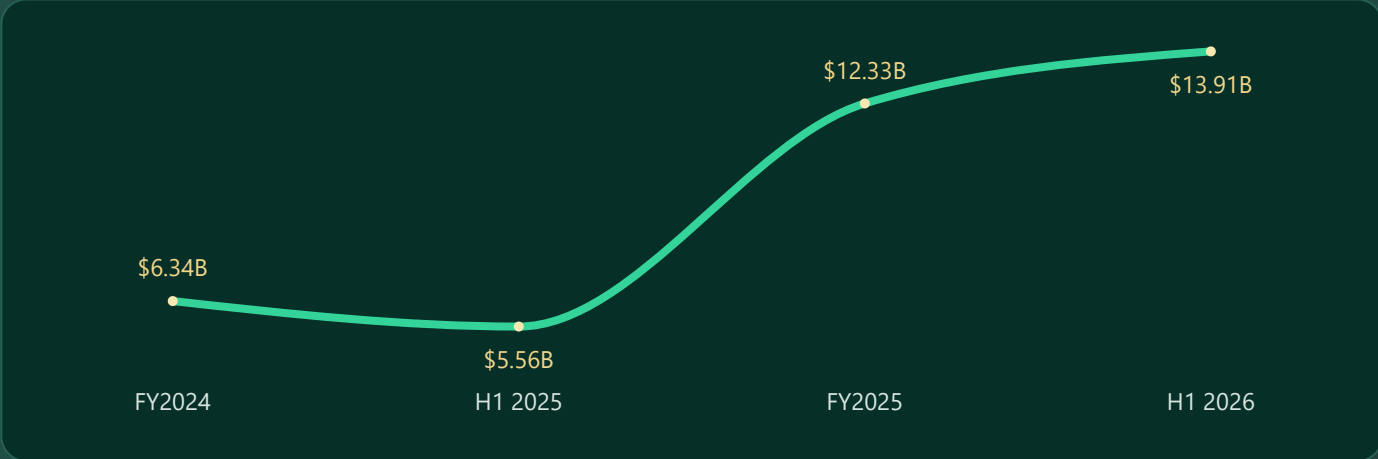
Operating Cash Flow

\$1.27B

Cash generated from operations

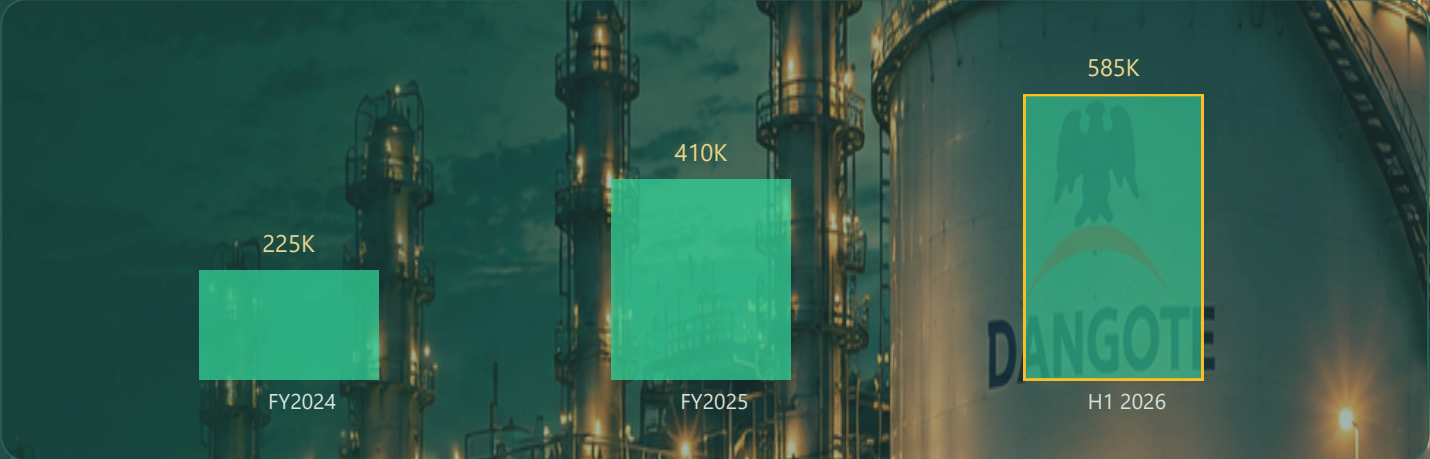
Revenue Growth

H1 2026 revenue has already surpassed FY 2025 full-year revenue



Crude Throughput

Daily crude processing rose sharply as utilization ramped



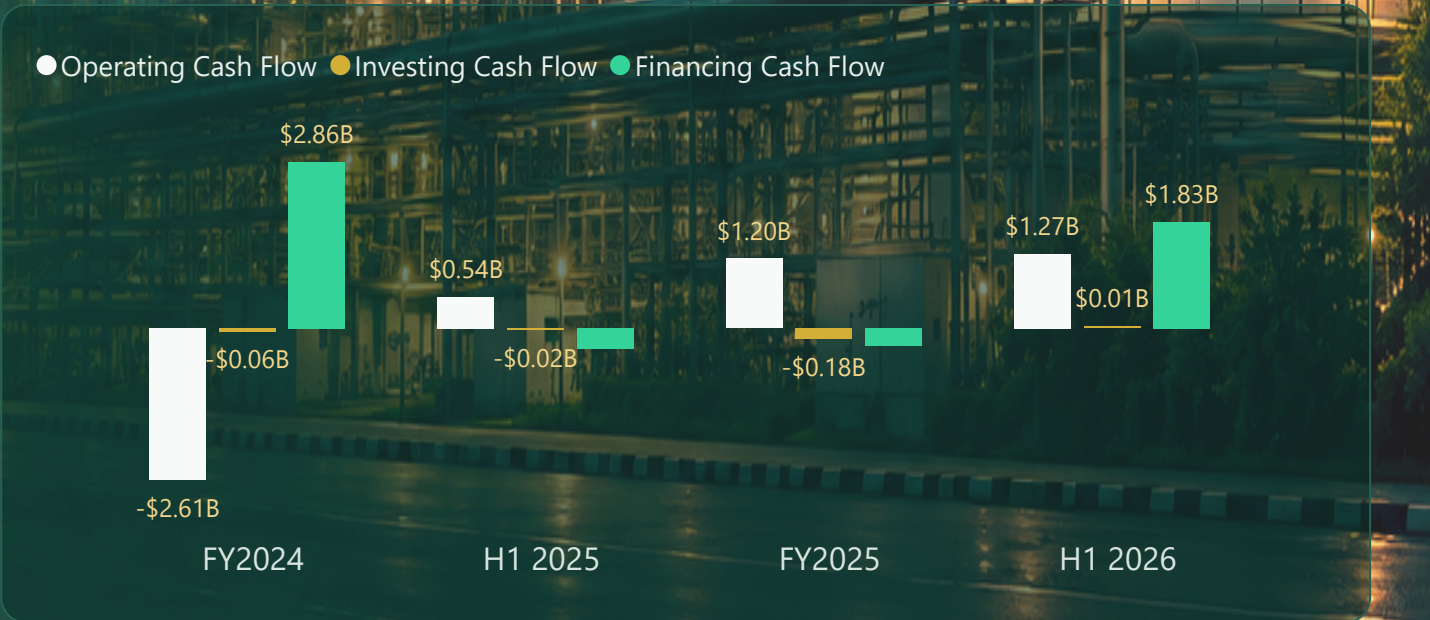
Profitability Turnaround

Gross, operating and net margins improved dramatically as refinery utilization



Cash Flow & Funding

Operating cash generation strengthened as the refinery scaled



PEER COMPARISON

How does Dangote compare with global refiners?

Company Value

\$47.82B

Post-IPO equity value

Refinery Capacity

700K

Current capacity (bpd)

Capacity Utilisation

83.6%

H1 2026 utilization

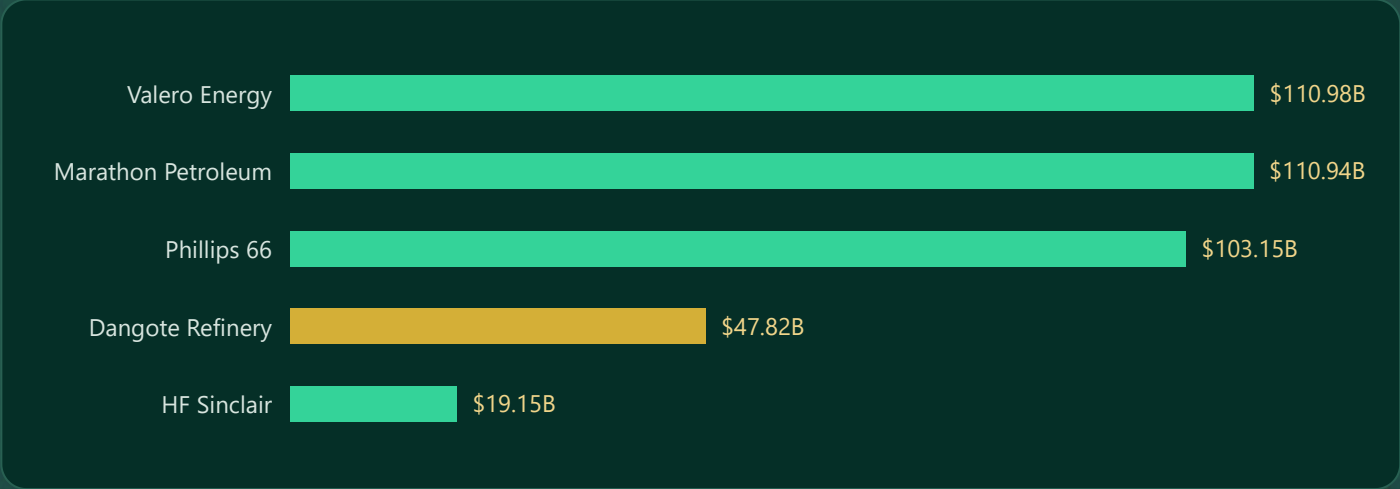
Refining Margin

\$24.50/bbl

H1 2026 refining margin

Market Value

Dangote enters the market below the largest listed refiners



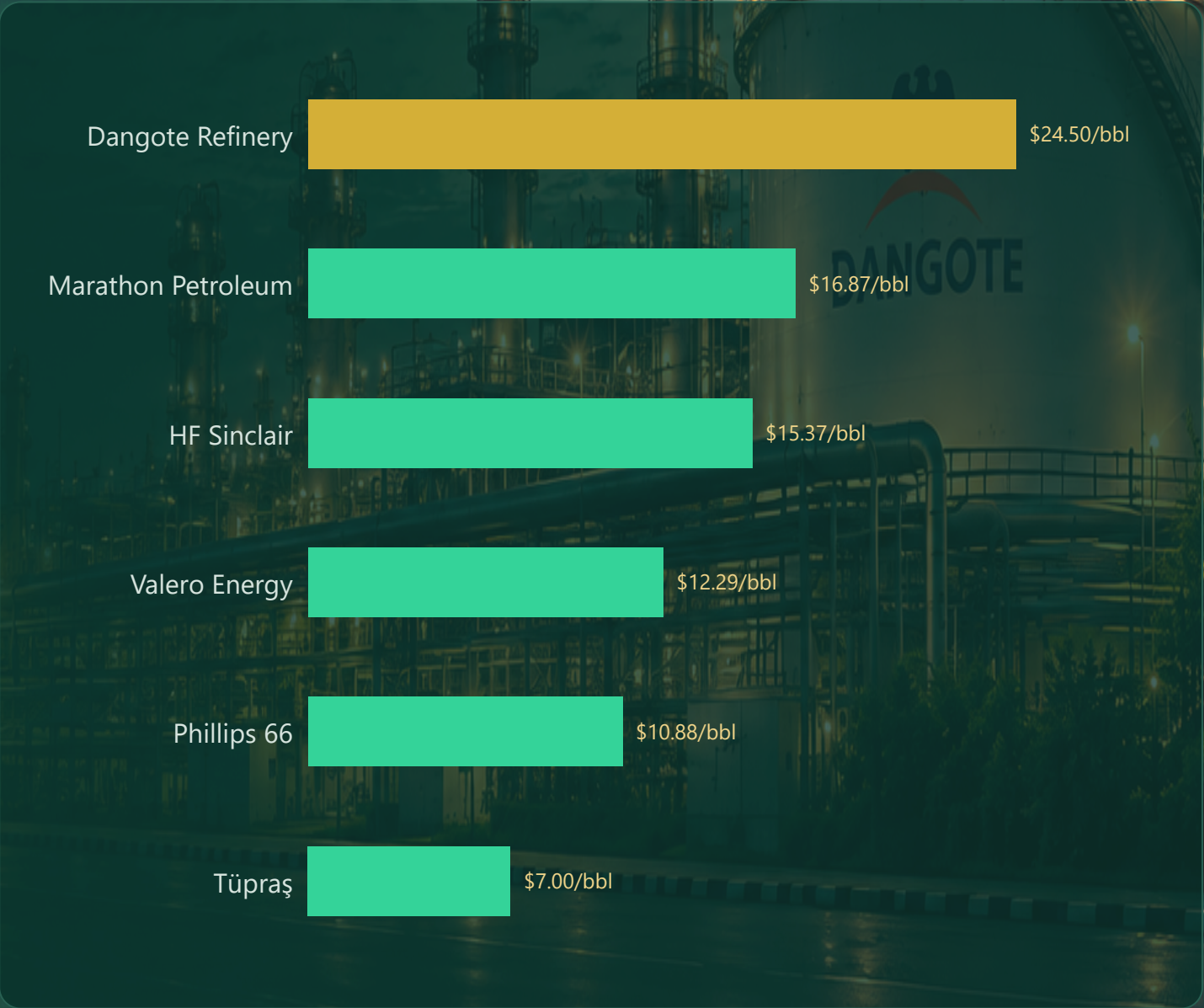
Capacity Utilization

Dangote operates below the utilization levels of all listed peers



Refining Margin Benchmark

Dangote reports the highest margin in the peer set, though definition differ



GROWTH & FUNDING

Can Dangote sustain expansion while maintaining financial flexibility?

EXPANSION SPENDING

\$14.30B

Total expansion program

SPENDING STILL NEEDED

\$11.80B

H2 2026 - 2028

NET DEBT

\$1.40B

H1 2026

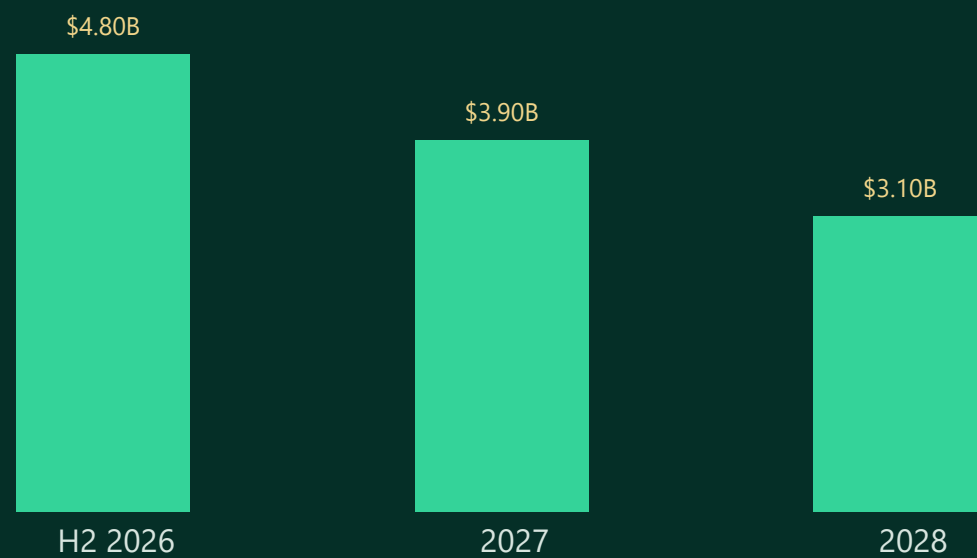
IPO NET PROCEEDS

\$1.55B

Net proceeds at prospectus FX

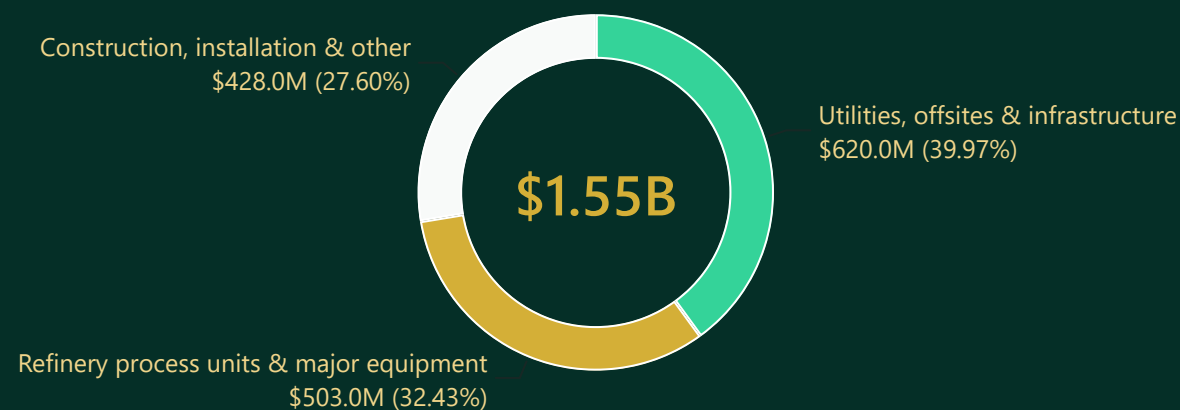
Expansion Capital Program

\$11.8B of expansion spending remains through 2028



IPO Proceeds Allocation

\$1.55B Net proceeds directed to expansion



Funding Position

\$4.27B cash offsets \$5.67B of gross debt

● Cash ● Gross Debt



IS ₦525 JUSTIFIED?

What earnings power does IPO price already assume?

IPO OFFER PRICE

₦525

per share

COMPANY VALUE

\$47.82B

Post-IPO equity value

POST-IPO SHARES

124.23B

Shares outstanding

BASE EV / EBITDA

10.0×

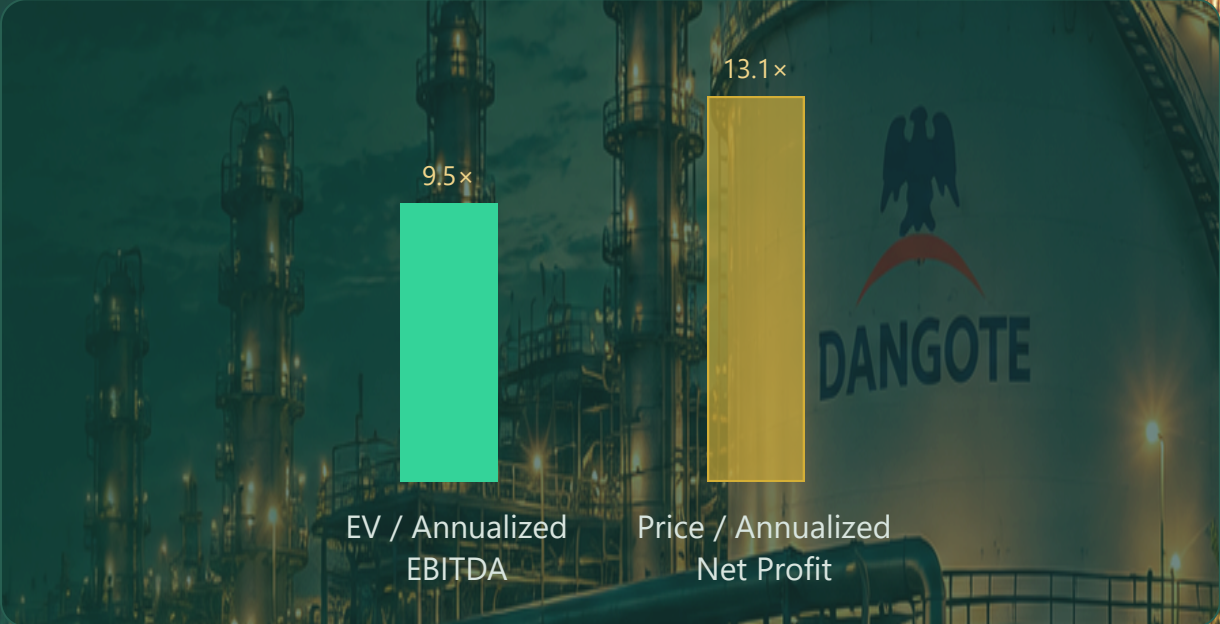
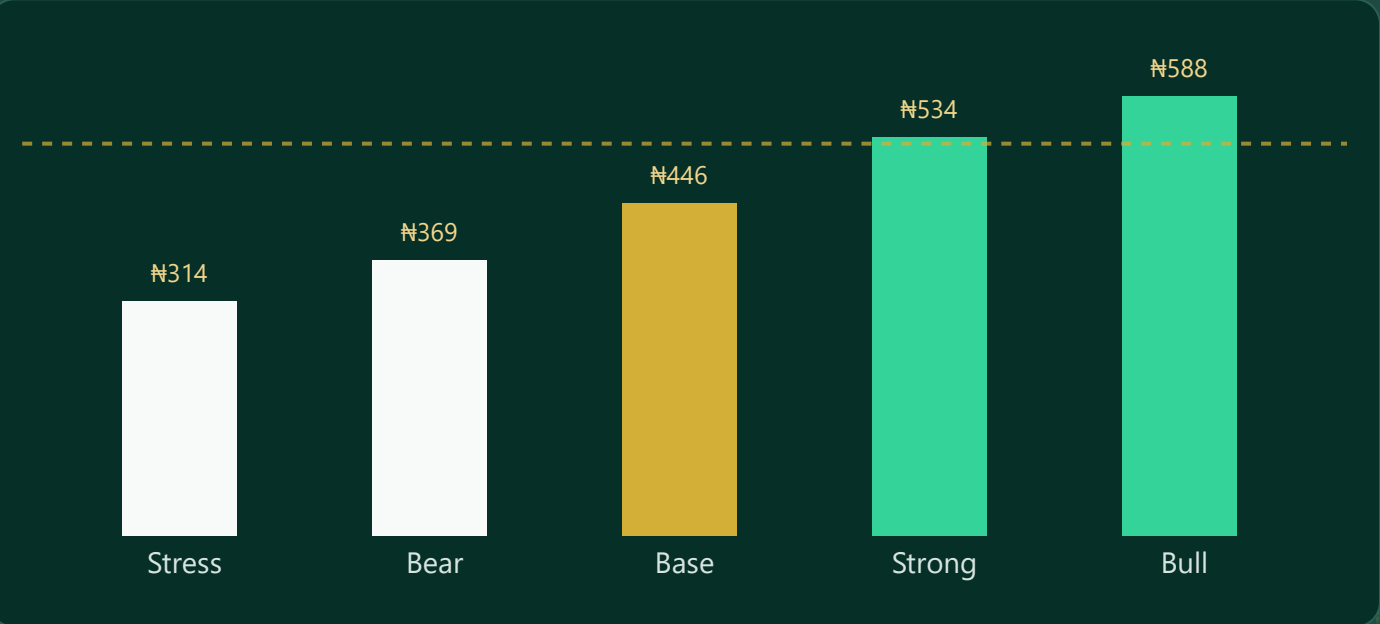
Analyst valuation assumption

Scenario Implied Share Price

₦525 sits above the base case under the 10× EV/EBITDA framework

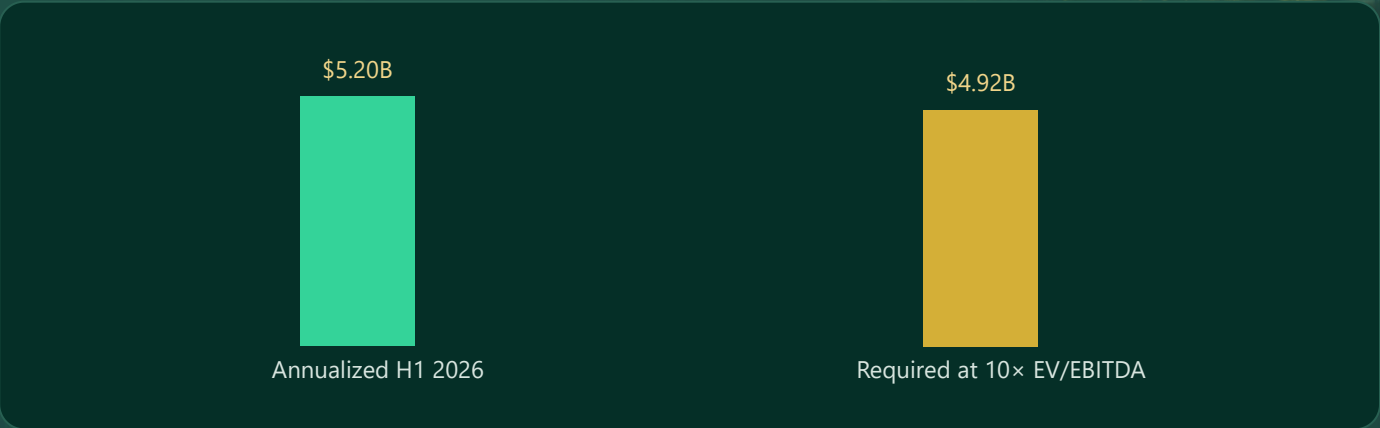
Implied Valuation Multiples

₦525 implies ~9.5× annualized EBITDA and ~13.1× annualized net profit



Required Earnings vs Current Run-Rate

Annualized H1 2026 operating earnings provide only \$280M of headroom over the 10x requirement



Scenario Sensitivity

Higher earnings power is required for ₦525 to generate positive upside

Scenario	GRM (\$bbl)	EBITDA (\$B)	Implied Price (₦)	Upside / Downside (%)
Stress	12.00	3.00	₦314	-40.19
Bear	15.00	3.50	₦369	-29.74
Base	18.00	4.20	₦446	-15.10
Strong	21.00	5.00	₦534	1.64
Bull	24.50	5.50	₦588	12.09

INVESTMENT CONCLUSION

WHAT COULD BREAK THE ₦525 THESIS?

Key risks, downside scenarios and the final investment view

Refining Margin

\$24.50/bbl

H1 2026 gross refining margin

Base Case Downside

-15.1%

Implied value vs ₦525 IPO price

Spending Still Needed

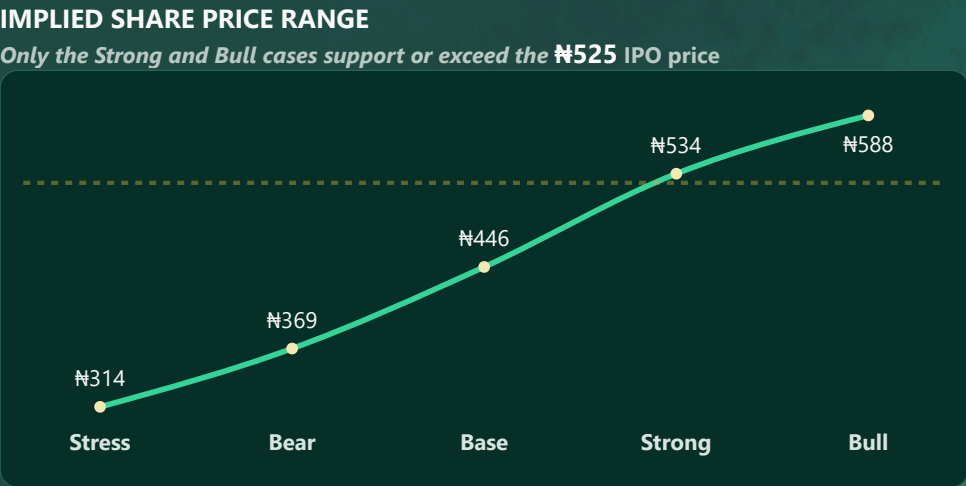
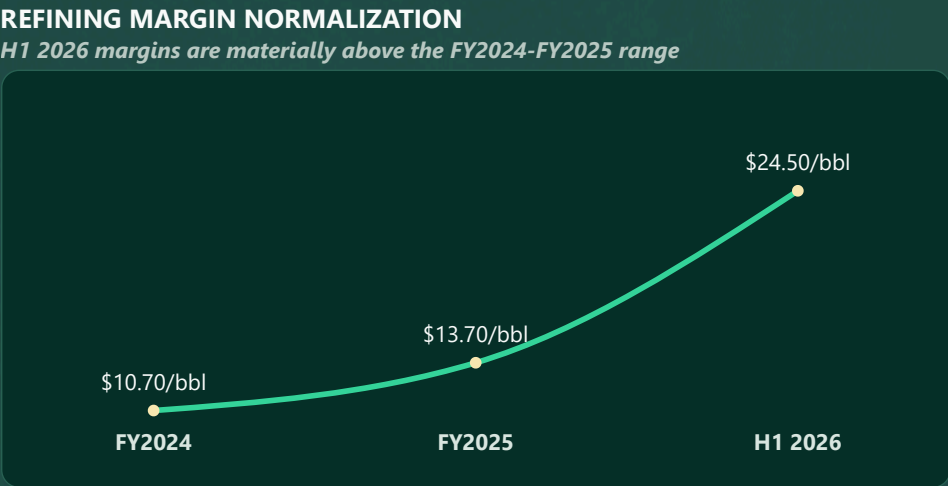
\$11.80B

Expansion capex through 2028

Net Debt

\$1.40B

H1 2026 net debt



KEY INVESTMENT RISKS
The valuation is most sensitive to margin, funding and execution risk

Risk Name	First potential_impact
Crude Supply Risk	High
Execution and Commissioning Risk	High
Expansion Funding Risk	High
Foreign Exchange Risk	High
Interest Rate and Debt Cost	Medium
Product Price and Demand Risk	Medium
Refining Margin Normalisation	High
Related-Party Transactions	Medium
Tax Regime Transition	High
Valuation Multiple Risk	High

INVESTMENT VIEW

WAIT / WATCH

₦525 leaves limited margin of safety unless H1 2026 earnings power proves sustainable.

SUPPORTING THE CASE

- **83.6%** H1 2026 utilization
- ~**\$5.20B** annualized operating earnings
- Strong current refining margins

BREAKING THE THESIS

- **\$24.50/bbl** refining margin may normalize
- **\$11.80B** expansion spending remains
- **Base-case value of ₦446** remains below **₦525**

Source: Dangote Refinery IPO Prospectus & H1 2026 disclosures | Analyst calculations

Data through H1 2026